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Banking Sector: 3Q21 Earnings Analysis

Following the release of the banks' 3Q21 results, we analyze the financials of the listed banking sector which seem to indicate a recovery in economic activity. Data from KNBS indicated that the Kenyan economy recorded an impressive 10.1% growth in 2Q21 compared to a 4.7% decline over the similar period in 2020. From our estimates the 3Q21 economic figures are likely to be in line with the 1H21 growth, as the continued vaccine rollout has brought a renewed increase in economic activity.

Most lenders have reported a resumption in payments for their previously restructured loan books. Continued investment in alternative transaction channels continues to boost efficiency with banks such as KCB reporting that 98% of the transactions happened outside the physical branches. Increased usage of technology and alternative channels has enabled most lenders to reduce their branch network. NCBA seems to be the outlier as it continues to invest in the traditional brick and mortar.

- **Net Interest Margin (NIM):** Yield on assets averaged 8.9% with KCB having the highest at 10.9% and Stanbic with the lowest at 6.6%. The lenders' apathy to lending was reflected in the faster growth, 21.8% on average, in income from government securities compared to 16.5% interest income from loans. COOP recorded the largest increase in allocations to government securities at 36.0% while Stanbic reduced the allocation by 36.1%. The lenders continued hunting for cheaper deposits as seen by the average Cost of funds reducing to 2.6% y/y from 3.0%. SCBK collected the cheapest deposits with a cost of funds of 1.5% while I&M had the most expensive at 3.8%. Consequently, NIMs stood at an average of 6.4% with KCB having the highest at 8.4% and Stanbic having the lowest at 4.4%.

- **Non – Funded Income (NFI):** Most lenders registering an increase in non funded income driven by higher fees and commissions and foreign exchange income. Equity was the largest gainer at 28.8% while DTB, I&M and NCBA recorded a reduction of 4.9%, 4.8% and 0.2%, respectively. Stanbic continues to maintain the most balanced revenue mix at 57:43 for NII to NFI.

- **Asset Quality:** The lenders' registered a decrease in their NPL ratio. NCBA stood out as its NPL ratio of 17.0% was above the industry average of 13.6%. The asset quality for lenders such as KCB (14.9%) and CO-OP (14.6%) were weighed down by the recent acquisition of NBK and Kingdom Bank, respectively, which had high NPLs. ABSA had the lowest NPL ratio at 7.9% followed closely by Equity at 8.5%.

1st December 2021

Equity Group
Target price: KES 50.60

KCB Group
Target price: KES 52.45

Coop
Target price: KES 14.99

Stanbic Holdings
Target price: KES 102.92

Standard Chartered
Target price: KES 145.19

ABSA Bank
Target price: KES 12.07

DTB
Target price: KES 79.00

I & M Group
Target price: KES 36.49

Table 1 : Financial Statement Summary

	Equity	KCB	COOP	ABSA	NCBA	SCBK	DTBK	Stanbic	I &M
Net Interest Income	48,485	56,437	28,668	18,576	20,204	14,712	14,730	10,029	13,988
y/y Growth	23.3%	17.9%	21.3%	8.6%	19.1%	2.8%	5.9%	12.2%	34.5%
Non-Funded Income	31,974	23,469	15,730	8,738	16,083	7,560	4,790	7,454	5,872
y/y Growth	28.8%	10.3%	15.6%	5.2%	(0.2%)	19.1%	(4.9%)	4.2%	(4.8%)
Loan loss Provisions	5,140	9,328	6,045	3,403	9,169	2,681	3,065	1,515	2,825
y/y Growth	(65.2%)	(53.4%)	50.3%	(55.2%)	(31.3%)	(1.6%)	6.0%	(48.4%)	31.4%
Profit After tax	26,874	25,207	11,627	8,237	6,526	6,355	5,195	5,113	5,738
y/y Growth	78.6%	131.4%	18.9%	328.3%	159.0%	46.7%	20.1%	43.2%	25.1%
Loan Book	559,013	651,816	306,317	229,080	238,166	131,744	205,553	176,623	207,605
y/y Growth	23.2%	12.9%	7.8%	9.5%	-4.6%	0.1%	0.0%	11.2%	11.8%
Customer Deposits	875,113	859,103	420,438	268,816	447,663	258,380	323,737	212,851	288,685
y/y Growth	26.6%	11.2%	12.0%	9.0%	11.2%	6.4%	12.3%	(5.8%)	14.2%
Earnings Per Share	6.98	9.92	1.98	1.52	3.96	16.49	17.28	29.97	3.29
y/y Growth	77.6%	91.5%	17.9%	334.3%	140.0%	48.2%	20.0%	43.2%	-37.6%
Interim DPS	0.00	1.00	0.00	0.00	0.00	5.00	0.00	0.00	0.00
NPL Ratio	8.5%	14.9%	14.6%	7.9%	17.0%	15.3%	11.5%	11.5%	10.2%
NIMs	7.0%	8.4%	5.7%	7.0%	6.1%	6.7%	5.3%	4.4%	5.6%
Cost of Funds	2.8%	2.6%	2.4%	2.6%	2.7%	1.5%	3.0%	2.0%	3.8%

Source: Company financials, AIB-AXYS analyst estimates

- **Reduced Provisioning drives bottom line:** During the quarter, majority of the lenders reduced their loan loss provisioning leading to an increase in the net earnings. Reduced provisioning is an indication of reduced risk perception. However, lenders such as Coop, I&M and DTB increased their provisioning by 50.3%, 31.4% and 6.0%, respectively. We observed a positive correlation between reduction in provisioning and an increase in PAT with the exemption of DTB and CO-OP who increased their provisioning and still registered a double-digit growth in PAT of 20.1% and 18.9% respectively.
- **Muted loan book growth as government crowds out the private sector:** We are particularly concerned about minimal growth in the loan book as banks preferred to increase their holdings of government securities. Equity Group recorded the highest growth of 23.2% (mainly attributed to DRC) while KCB's growth of 12.9% also from local and regional acquisitions. On average customer deposits grew faster at 10.8% compared to an 8.0% growth in loans, indicating an ability to mobilize deposits.

FY21 Expectations

We expect end year interest income growth to be mainly driven by income from government securities. Private sector credit growth remains muted as government continues to crowd out the private sector and commercial banks' risk appetite remains low. Initiatives such as the credit guarantee scheme and operationalization of KMRC should support riskier lending. Continued investment in alternative channels will, in the long term, drive improvements in cost to income ratio and increased fees and commission income as the pandemic has pushed customers to embracing cashless payments. We further expect an asset quality improvement leading to lesser provisioning and a better NPL coverage. We expect the banks to return to their pre-COVID dividend payments.



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